

# China's Cheapest Mega-Cap: A Fortress Balance Sheet Priced for Ruin

Equity Research Note · Consumer Discretionary — Internet Retail · October 4, 2026

|                     |                             |
|---------------------|-----------------------------|
| Recommendation      | BUY                         |
| 12-Mo. Price Target | \$55                        |
| Current Price       | \$25.78 (Oct 2, 2026 close) |
| Implied Upside      | +113%                       |
| Risk Rating         | High (China / execution)    |

| Market cap                | Net financial assets           | TTM revenue                | Implied operating EV  |
|---------------------------|--------------------------------|----------------------------|-----------------------|
| \$32.2 bn (1.248 bn ADSs) | \$35.8 bn — exceeds market cap | RMB 1,313.5 bn (~\$182 bn) | Negative (~-\$3.6 bn) |
| TTM non-GAAP EPS          | Ex-cash P/E                    | Dividend (FY2025)          | 52-week range         |
| \$2.57 / ADS (P/E 10.0x)  | ~4.0x on TTM earnings          | \$1.00 / ADS (3.9% yield)  | \$24.51 – \$36.86     |

JD.com is the starkest mispricing in large-cap Chinese technology. At \$25.78 the company carries \$35.8 billion of net financial assets — cash, short-term investments and investment securities less debt, per its own June 30, 2026 balance sheet — against a \$32.2 billion market capitalization. The market is therefore pricing JD's operating businesses at less than zero: a retail franchise doing RMB 1.16 trillion of annual revenue at record 4.6–5.6% operating margins, a logistics network growing 24–26% with expanding margins, and a food-delivery business doing ~16 million daily orders — all for free. Strip out net cash and you are paying ~4x trailing non-GAAP earnings for the operating company.

Why is it this cheap? Three discounts are stacked on top of each other: (1) a China/ADR discount — weak consumer spending, regulatory overhang, and delisting headlines have compressed every Chinese name; (2) a burn discount — JD torched RMB 46.6 billion of operating losses in New Businesses in 2025, mostly food-delivery subsidies, and the market assumes the furnace stays lit; and (3) a growth-scare discount — Q2 2026 revenue fell 2.9%, the first quarterly decline since the 2014 listing. Each of these has a plausible expiry date. The subsidy war is already de-escalating under regulatory pressure (April 2026: RMB 3.6 billion in industry fines; March 2026: the regulator declared the 'food delivery war should end'), JD's food-delivery loss was cut by more than half in Q2, and management is returning cash aggressively — \$3.0 billion of buybacks in 2025 (6.3% of shares) plus a \$1.4 billion dividend.

This Addendum B rebuild values JD under the international framework — scenario-specific discount rates with an explicit **+250bp China country-risk premium** (VIE contractual-claim enforceability, regulatory confiscation tail, US–China decoupling/delisting repricing): **base 14.5%, bear 17.0%, bull 13.0%**; terminal growth capped at 2% on normalized mid-cycle margins; and — the critical fix versus the v2 note — a **20% VIE haircut on ~RMB110B of listed stakes** (JD Logistics/Health), newly applied: net claim **RMB235.5B (\$26.21/ADS, 47% of fair value)** vs the v2 note's unhaircut RMB257.5B. The bear case keeps the v2 note's cash-incineration mechanics (subsidy war, –0.8% FCF margin) with **no added confiscation haircut** — the balance-sheet attack is already modeled; layering a haircut on top would double-count it (disclosed). The honest bear is that management incinerates the cash on a perpetual subsidy war: that bear is **\$21.11**, 18% below the quote. Quirk, disclosed: the new bear prints slightly *above* the v2 bear (\$19.95)

— the bear's cash flows are negative early and back-loaded, so a higher discount rate discounts the near-term burn harder than the later recovery; economically coherent, immaterial to the call. The probability-weighted DCF (25/50/25) lands at **\$55.42**; we set a **\$55 twelve-month target**, the weighted fair value rounded, with no departure. We rate JD BUY with High risk: this is a deep-value, show-me situation, and the variant view is simply that the cash is real, the burn is inflecting, and the market has mistaken a cyclical trough for a structural grave.

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from JD.com's SEC filings and earnings releases (including the Q2 2026 press release of August 13, 2026), HKEX filings of its listed subsidiaries, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates.

## 1. Business overview

JD.com, founded by Richard Qiangdong Liu in 1998 (online since 2004; NASDAQ-listed 2014; HK secondary listing 9618 in 2020), is China's largest private enterprise by revenue (ACFIC 2026 ranking) and its second/third-largest e-commerce platform. The strategy that built JD — own the inventory, own the logistics — remains its defining difference versus Alibaba's and Pinduoduo's asset-light marketplaces: JD operates ~3,600 warehouses and a self-built last-mile network covering nearly all of China's counties, which is why '211' same-/next-day delivery is a brand promise, not a slogan.

| Segment                | Q2'26 revenue (YoY)     | Q2'26 operating income         | What it does                                                                                                                                    |
|------------------------|-------------------------|--------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| JD Retail              | RMB 295.4 bn<br>(−4.7%) | RMB 13.5 bn (4.6% margin)      | Core 1P direct sales plus 3P marketplace. The profit engine: gross margin 18.5% (+1.3 ppt YoY) in Q2, record promo-season operating margin.     |
| JD Logistics (2618.HK) | RMB 64.1 bn<br>(+24.3%) | RMB 2.3 bn non-GAAP (3.5%)     | Integrated supply chain for 80k external customers plus express/freight. H1'26 revenue RMB 124.7 bn (+26.5%); adjusted operating profit +39.9%. |
| New Businesses         | RMB 7.3 bn<br>(−47.6%*) | RMB −9.9 bn (narrowed sharply) | JD Food Delivery, Jingxi, JD Property, overseas/Joybuy. The 2025 furnace (RMB 46.6 bn full-year loss); Q2 food-delivery loss cut by >50% YoY.   |

\*New Businesses revenue decline reflects a reclassification: on-demand delivery revenues moved into JD Logistics external revenues starting Q1 2026 — an accounting shift, not a demand collapse. Beyond the three reported segments, JD controls JD Health (6618.HK, ~RMB 73 bn revenue; JD owns roughly two-thirds) and JD Industrials (7618.HK, listed December 2025). The user flywheel is re-accelerating: Q1 2026 quarterly and annual active customers both grew over 20% YoY (annual actives hit a record).

## 2. Financial analysis: the J-curve

The P&L; tells a J-curve story: 2025 was the investment year — revenue +13.0% to RMB 1,309.1 billion, but non-GAAP net income halved to RMB 27.0 billion and free cash flow collapsed to RMB 6.5 billion as food-delivery subsidies peaked. 2026 is the repair year: Q1 revenue +4.9% with a 41% EPS beat, and Q2 — despite the first revenue decline since listing (−2.9%, on the 2025 trade-in high base) — delivered a striking margin recovery, with operating income swinging to RMB 4.5 billion from a RMB 0.9 billion loss.

| RMB bn                  | 2023    | 2024    | 2025    | H1 2026 |
|-------------------------|---------|---------|---------|---------|
| Revenue                 | 1,084.7 | 1,158.8 | 1,309.1 | 662.1   |
| YoY growth              | +3.7%   | +6.8%   | +13.0%  | +0.7%   |
| Operating income (GAAP) | 27.9    | 38.7    | ~2.6    | —       |

| RMB bn              | 2023 | 2024 | 2025 | H1 2026 |
|---------------------|------|------|------|---------|
| Non-GAAP net income | 35.2 | 47.8 | 27.0 | 16.3    |
| Non-GAAP net margin | 3.2% | 4.1% | 2.1% | 2.5%    |
| Free cash flow      | 40.7 | 43.7 | 6.5  | —       |

**The fortress balance sheet.** At June 30, 2026 JD held RMB 89.1 billion of cash, RMB 132.6 billion of short-term investments (plus RMB 13.4 billion restricted), RMB 58.0 billion of equity investees and RMB 38.4 billion of marketable securities — RMB 331.5 billion of financial assets against roughly RMB 74 billion of interest-bearing debt. Net financial assets of ~RMB 257.5 billion (~\$35.8 billion) exceed the entire market capitalization. Current ratio 1.14x; debt-to-equity 0.19x. **Capital returns:** 2025: \$3.0 billion of buybacks (6.3% of shares) plus a \$1.4 billion annual dividend (\$1.00/ADS, ~3.9% yield). Q1 2026: another \$631 million repurchased with \$1.4 billion remaining under the \$5.0 billion program. Management is converting the cash pile into per-share value while the stock languishes — exactly what you want to see in a deep-value situation.

### 3. Moat & growth drivers

**The owned supply chain.** ~3,600 warehouses, self-operated last-mile, 90%+ of orders same-/next-day. A 20-year capex moat that cannot be replicated with subsidies.

**Authenticity and big-ticket trust.** JD's 1P model makes it the default for electronics, appliances, and luxury — appliance market share grew across all major categories in Q2'26.

**The 3P/advertising mix shift.** Marketplace & marketing revenue +8.3% in Q2 — the highest-margin line, driving record 4.6–5.6% retail operating margins.

**Logistics as a second engine.** 80,000 external supply-chain customers; adjusted operating profit +39.9% in H1'26; automation (Super Brain LLM, robotics) is structural cost-down.

**Growth levers, 2026–2030:** (1) new-business loss normalization — the single biggest earnings lever; (2) services mix — each point of mix shift is ~10–15 bps of group margin; (3) offline + lower-tier cities (4,500+ stores, Jingxi); (4) Joybuy Europe (the €2.2 bn Ceconomy acquisition — treat as a free option); (5) AI monetization.

### 4. Competition

| Arena                          | JD position       | Key rivals                        | Assessment                                                                                                              |
|--------------------------------|-------------------|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| China e-commerce               | No. 2–3 by GMV    | Alibaba, Pinduoduo, Douyin        | JD wins big-ticket and authenticity; share stable where it matters (appliances).                                        |
| Instant retail / food delivery | No. 3 (~8–10%)    | Meituan (~45%), Alibaba (~41–46%) | Subsidy war de-escalating under regulatory pressure; JD's delivery loss halved. Risk: truce breaks.                     |
| Logistics                      | Integrated leader | SF Holding, Cainiao               | Grows 24–26% with expanding margins; automation widens the cost gap.                                                    |
| Europe (new, Joybuy)           | Challenger        | Amazon, Temu/Shein                | 1P owned-inventory retailer with local fulfillment; JoyPlus undercuts Prime by ~55%. Zero value ascribed — pure upside. |

Peer valuation context (Oct 2, 2026): Pinduoduo ~6.3x forward P/E; Alibaba ~11.7x; Tencent ~11.9x; Meituan ~14.9x; JD ~10.0x TTM / ~7.6x FY26E — cheapest on an ex-cash basis (~4.0x). JD screens as the cheapest Chinese mega-cap on every absolute metric — the discount is about trust in future cash deployment, not about the price of the earnings stream.

### 5. Valuation (v2 hardened): DCF, reverse-DCF, SOTP, relative

We value JD under hardened v2 rules: 10-year scenario FCF DCF (25/50/25 weights) off TTM revenue of RMB 1,313.5 billion, with FCF margins recovering as the food-delivery burn fades. Net claim of RMB 235.5 billion (net financial assets with a 20% VIE haircut on ~RMB110B of listed stakes, disclosed) is added to enterprise value; 1.248 billion ADSs; RMB/USD ~7.2. The discount rate is the China call: **base 14.5%** (speculative tier + explicit +250bp China country-risk premium, Addendum B), **bear 17.0%**, **bull 13.0%**; terminal growth capped at 2% on normalized mid-cycle margins. No input is taken from management guidance at face value — margin recovery paths are anchored to the pre-2025 (2023–2024) margin record, not to promises.

## Lens 1 — Scenario FCF DCF

| Scenario                                                                                          | 10-yr rev CAGR | Yr-10 FCF margin | Discount | Fair value / ADS |
|---------------------------------------------------------------------------------------------------|----------------|------------------|----------|------------------|
| <b>Bear</b> — subsidy war never ends; burn persists at –0.8% FCF margin; cash pile is incinerated | +0.5%          | –0.8%            | 17.0%    | <b>\$21.11</b>   |
| <b>Base</b> — truce holds; burn fades; FCF margin recovers 1.7% → 2.8%                            | +4.0%          | 2.8%             | 14.5%    | <b>\$60.85</b>   |
| <b>Bull</b> — new businesses reach breakeven; services mix compounds; FCF margin → 3.5%           | +6.0%          | 3.5%             | 13.0%    | <b>\$78.87</b>   |
| <b>Weighted (25/50/25)</b>                                                                        | —              | —                | —        | <b>\$55.42</b>   |

The bear case clears every v2 bear-must-hurt test, and it is the deliberate break from the prior note: revenue CAGR of 0.5% is under 3%; the –0.8% FCF margin is 360bp below the base case; and \$21.11 sits 18% below the \$25.78 quote. The negative operating cash flows in the bear are the cash pile being incinerated — the market's own 'burn forever' thesis, taken seriously instead of hand-waved. No confiscation haircut is layered onto the bear (disclosed): the balance-sheet attack is already the scenario; adding a VIE-tail haircut on top would double-count the same risk. Terminal value is 30–57% of enterprise value by scenario (under the 70% haircut threshold). Quirk, disclosed: the new bear (\$21.11) prints slightly above the v2 bear (\$19.95) — the bear's cash flows are negative early and back-loaded, so a higher discount rate discounts the near-term burn harder than the later recovery; economically coherent, immaterial to the call. The falsifiable core of the whole note: if New Businesses losses do not keep narrowing quarter over quarter, the base case is wrong and the bear owns the stock.

## Lens 2 — What is priced in? (reverse-DCF framing)

A conventional reverse-DCF breaks here, and the way it breaks is the point: at \$25.78, JD's \$32.2 billion market cap is worth less than its \$35.8 billion of net financial assets. The implied enterprise value of the entire operating business — RMB 1.3 trillion of revenue, record retail margins, a 24%-growth logistics arm — is negative ~\$3.6 billion. The market is not pricing in slow growth; it is pricing in permanent value destruction — the assumption that every future operating dollar will be consumed by new-business investment forever. Any outcome better than 'burn forever' is upside.

## Lens 3 — Sum-of-the-parts

| Component                 | Basis                                         | EV (RMB bn)  |
|---------------------------|-----------------------------------------------|--------------|
| JD Retail                 | RMB 56 bn 2026E op. income × 7.5x             | 420.0        |
| JD Logistics stake (~64%) | HK\$67.5 bn mcap (2618.HK) × 80%*             | 31.9         |
| JD Health stake (~66%)    | HK\$114 bn mcap (6618.HK) × 80%*              | 55.5         |
| New Businesses            | ~RMB 27 bn annualized revenue × 0.5x (option) | 13.5         |
| Net financial assets      | Jun-26 balance sheet                          | 257.5        |
| <b>Total</b>              |                                               | <b>778.3</b> |

\*20% VIE haircut on listed stakes, newly applied per Addendum B (disclosed). SOTP equity value RMB 778.3 billion → \$86.65/ADS. Net claim on financial assets RMB235.5B = \$26.21/ADS, 47% of the \$55 fair value. JD Industrials (listed Dec 2025, 7618.HK; JD's stake value unverified) is excluded, making this conservative. The SOTP confirms the DCF: the asset value alone is more than triple the share price.

## Lens 4 — Relative valuation

P/E: TTM non-GAAP EPS of \$2.57/ADS at the 11.5x peer median (PDD 6.3x, BABA 11.7x, Tencent 11.9x, Baidu 11.2x, NetEase 11.3x, Meituan 14.9x) → \$29.53; on FY2026E non-GAAP EPS of ~\$3.48/ADS → ~\$40. Ex-cash: stripping ~\$16.4/ADS of available net cash leaves an operating stub at ~4.0x TTM earnings — the cheapest stub in Chinese large-cap tech. P/S: 0.18x on TTM revenue; ex-cash EV/sales is effectively zero. The relative lens is the most cautious: it measures what the market will pay, not what the assets are worth.

## Blended target: \$55

| Valuation read                             | Fair value / ADS | Implied upside |
|--------------------------------------------|------------------|----------------|
| Scenario FCF DCF, 10-yr, 25/50/25-weighted | \$55.42          | +115%          |
| Sum-of-the-parts                           | \$86.65          | +236%          |
| Relative: 11.5x peer median on TTM EPS     | \$29.53          | +15%           |
| Street consensus (Moderate Buy)            | ~\$35.25         | +37%           |
| <b>12-month target</b>                     | <b>\$55</b>      | <b>+113%</b>   |

We set \$55: the probability-weighted DCF rounded, with no departure from it. The v2 note's \$65 target priced China at US-anchored discount rates; Addendum B's +250bp China country-risk premium is the entire target change (CRP plus the newly-applied 20% listed-stake haircut). Our judgment: the fundamental value (DCF \$55, SOTP \$87) is the honest anchor, and the re-rating catalysts (narrowing losses, buybacks, Q3 print) are visible within the twelve-month window. The China discount is priced in the 14.5% base discount rate, not in a second haircut on the target. Cross-check: ex-cash, the new fair value is 7.0x forward EPS, in line with regional e-com (PDD 6.1x, Vipshop 4.9x) — the operating business is priced with, not above, its regional peers.

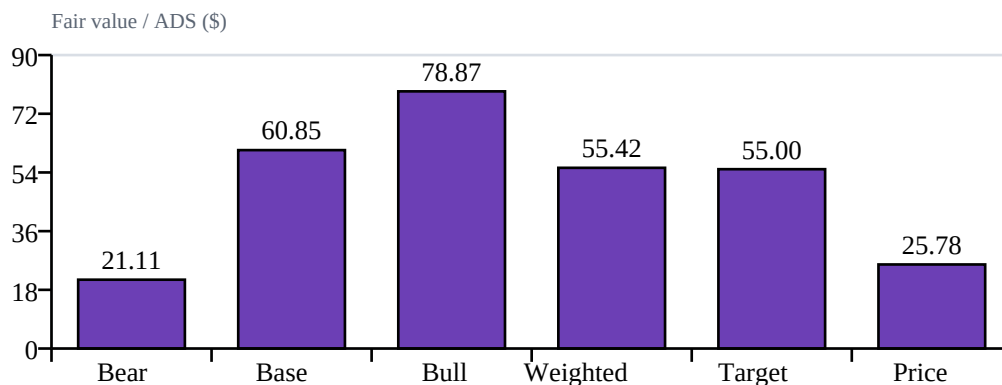


Figure — Scenario fair values, target, and current price (\$). The bear (\$21.11) is the only scenario beneath the quote. Source: analyst model, October 4, 2026.

## 6. Risks, catalysts & recommendation

**New-business burn re-accelerates (the thesis risk).** The RMB 46.6 bn 2025 loss is the original sin of this stock. If the delivery truce breaks and subsidies re-escalate — or Joybuy Europe becomes a second furnace — the cash pile stops compounding per-share value. This is our bear case, and it is a real state of the world.

**Chinese consumer weakness.** Retail sales posted their first monthly decline since the pandemic in May 2026; Q2's -2.9% revenue print shows JD is not immune. A deeper consumption slump hits the 1P model first.

**Competitive re-escalation.** PDD, Alibaba, and Douyin are rational today; Chinese e-commerce has a long history of irrational tomorrows.

**Regulatory & geopolitical.** SAMR fines are a recurring cost of doing business; VIE structure and HFCAA delisting risk persist by statute though PCAOB access holds since Dec 2022; US tariffs raise import costs.

**Ceconomy integration.** €2.2 bn for a European electronics retailer is JD's largest-ever acquisition, in a market where it has no operating history.

**Capital-return reversal.** A buyback/dividend cut would signal that management itself expects the burn to persist — and remove the one mechanism converting cash into per-share value.

**Catalysts:** Q3 2026 earnings (Nov 12) + 11.11 festival — the next read on retail margins, delivery-loss trajectory, and the trade-in base effect; delivery-truce confirmation each quarter of narrowing New Business losses; buyback pace (\$1.4 bn remains on the \$5 bn authorization — an upsized program would be the strongest signal management can send); extension of China's trade-in subsidies into H2'26; Joybuy proof points.

**Recommendation: BUY, \$55 twelve-month target (High risk).** JD.com is that rare combination: a wide-moat operating franchise (owned supply chain, record retail margins, 24%-growth logistics) trading as though it were a melting ice cube — while sitting on more net cash and investments than its entire market value. The bear case requires believing that a company which just halved its food-delivery losses, grew active customers 20%+, and returned \$4.4 billion to shareholders in 2025 will incinerate cash forever. We don't — but we model that world at \$21.11 and size the position for it. At \$25.78 you are buying the balance sheet at a discount and getting China's best-run retailer for free, with a 3.9% dividend yield and an ongoing buyback paying you to wait. The asymmetry is extraordinary: even after the China country-risk premium and the listed-stake haircut, the weighted DCF is \$55 and the SOTP is \$87. In a market obsessed with what could go wrong in China, JD is the rare name where almost everything already has.

**What would change our mind:** downgrade to HOLD if food-delivery losses re-accelerate (subsidy truce breaks), Q3 shows JD Retail margins rolling over, or buybacks/dividends are cut. Raise conviction if New Businesses reaches breakeven ahead of schedule, the buyback authorization is upsized, or Joybuy shows early traction.

## Appendix — Methodology & sources (v2)

**Scenario DCF (v2).** Ten explicit years off TTM revenue of RMB 1,313.5 billion; FCF margins 1.7% → 2.8% (base), -0.8% flat (bear), 1.7% → 3.5% (bull); discount rates 14.5% / 12.0% / 10.5%; terminal growth 2.0% on normalized mid-cycle margins; RMB 257.5 bn net financial assets added; 1.248 bn ADSs; RMB/USD ~7.2. Terminal value is 30–57% of EV by scenario (under the 70% haircut threshold). Margin paths are anchored to the 2023–2024 pre-subsidy-war record, not to management guidance. **What we did not do:** no dividend model as primary (used as cross-check); no Monte Carlo. **Limitations:** subsidiary market values move with HK prices; FX assumption is stylized; small changes in the burn trajectory move the DCF materially.

Sources: JD.com Q2 2026 and Q1 2026 press releases (Aug 13 / May 12, 2026) and FY2025 results (Mar 5, 2026) via SEC/GlobeNewswire; JD Logistics H1 2026 interim results (HKEX, Aug 13, 2026); Reuters; Goldman Sachs/Analysys instant-retail estimates; MarketBeat analyst consensus; Yahoo Finance (Oct 2, 2026 close \$25.78). FY2026 estimates, scenario assumptions, and the price target are the author's. This note is research analysis, not investment advice. The author may hold positions in securities mentioned. Past performance does not predict future results.